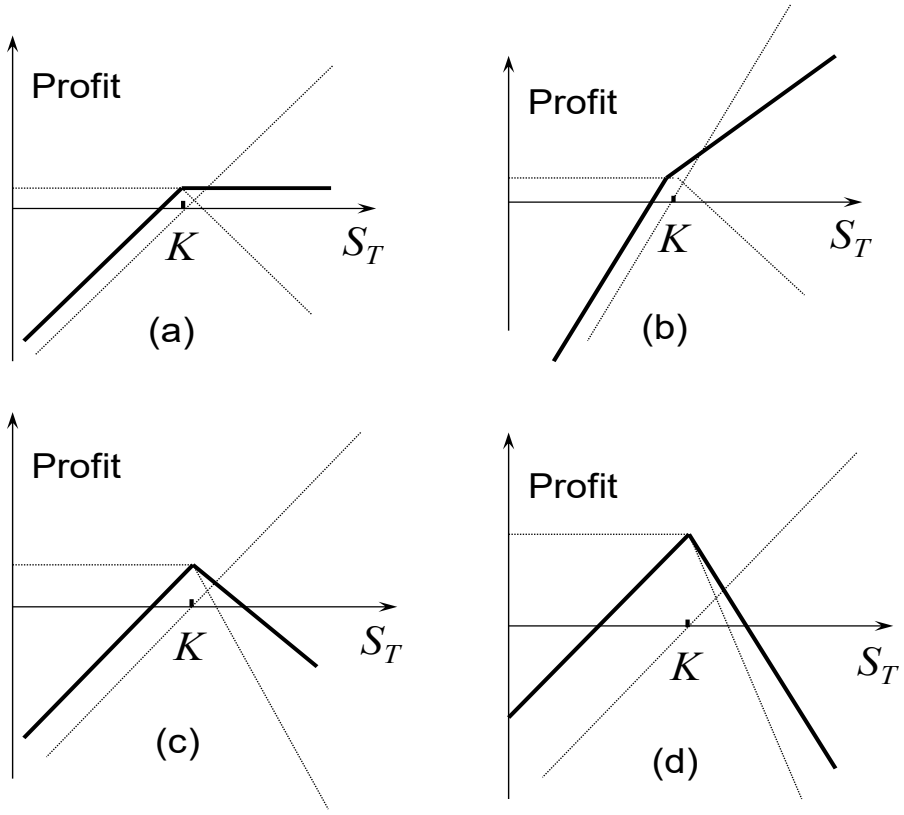
FINM3013 Introduction to Financial Derivatives

Chapter 11 Exercises

Solutions

1. The variation of an investor's profit/loss with the terminal stock price for each of the four strategies is shown in the following figure. In each case the dotted line shows the profits from the components of the investor's position and the solid line shows the total net profit.



2. A straddle is created by buying both the call and the put. This strategy costs \$10. The profit/loss is shown in the following table:

Stock Price	Payoff	Profit
$S_T > 60$	$S_T - 60$	$S_T - 70$
$S_T \leq 60$	$60 - S_T$	$50 - S_T$

This shows that the straddle will lead to a loss if the final stock price is between $50 and $70.

3. A butterfly spread (together with a cash position) is created.